

The market impact model parameters used in our analysis were calibrated using data over the period 1H2011. See Kissell Research Group (www.KissellResearch.com) for updated impact parameters³.

Global Equity Markets

The first part of this analysis consisted of evaluating trading costs across the global equity markets. This included: US Large Cap Stocks (US-LC), US Small Cap Stocks (US-SC), Canada, Europe, Australia, Hong Kong, Japan, and China, as well as for Developed Europe, Developed Asia, Latin America, and the Frontier Markets.

The model parameters were calibrated following the techniques provided in chapter 5 and using data from 1H2011. We then estimated trading cost for an order size of 10% ADV executed via a full day VWAP strategy. We used a constant volatility rating of 25% for all groups to allow for fair comparison across all markets. As expected, US and Canada large cap stock trading costs were relatively stable over the analysis period except for a spike in Aug-Sep 2011 due to the US debt crisis. Canadian trading costs were stable throughout the period and were not as affected by the economic issues encountered in the US. Japan and Hong Kong were the markets with the next lowest trading costs. Both countries had months in 2011 where impact cost spiked due to changing price sensitivity caused by economic and political events in the region. Developed Europe experienced the greatest fluctuation in trading costs throughout 2011 with periods of spiking cost which appeared to be related to the ongoing macro-economic climate and uncertainty in Europe. Australia and China had trading costs that were consistent with US-SC stocks and relatively stable over the period. The emerging markets and Latin America countries experienced much higher trading costs over the analysis period 2011. This was primarily due to a much higher information content of the order (at least a much higher perceived information content) and a resulting higher permanent market impact cost. Costs in these markets were more than 2.5 times greater than for US large cap stocks. The Frontier markets had by far the highest trading costs in 2011. These costs were more than 4.0 times higher than for US large cap stocks. The higher costs in the Frontier markets appeared to be driven by hyper sensitivity to order flow and trade imbalance, resulting in high information

³Kissell Research Group maintains updated market impact parameters and trading cost estimates for various asset classes, see www.KissellResearch.com for most recent data sets.